

## MB 527: Financial Management

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| Course Code      | MB 527               |
| Course Name      | Financial Management |
| L-T-P-C          | 2-0-0-2              |
| Prerequisites    | None                 |
| Intended for     | MBA                  |
| Mutual Exclusion | None                 |
| Approval         | 52nd BoA (Nov 2023)  |

### Course Contents

- **Module 0 Introduction to Corporate Finance and Financial Goal of the Firm:**
  - This module is intended to introduce two important questions; 1. What investments should the company make? 2. How should it pay for those investments? After understanding the goal of a firm, then students would be introduced to the challenges that managers may face and explain the agency problem and need for corporate governance.
  - Readings: Chapter – 1 of the Textbook (1 hour)
- **Module 1 Time Value of Money:**
  - In this module, we take the first steps to understand the relationship between the value of money (dollars/ rupees) today and money in the future. The next step is understanding how much would be needed to invest today to produce a specified future sum of money. After the students learn how to value cash flows that occur at different points in time, then connect them to the next topic on how bonds and stocks are valued
  - Readings: Chapter -2 of the Textbook Chapter end exercises ( 2 Lectures)
- **Module 2 Valuing Bonds and Common Stocks Bonds:**
  - First would explain the sources of finances to the firm, then start with an analysis of the bond market by looking at government bonds' valuation and how to analyze the bond. The students should understand the bond prices and yields published in financial newspapers. Also, learn to differentiate between nominal and real (inflation-adjusted) interest rates. Common Stocks: Begin with a look at how stocks are traded. Then explain the basic principles of share valuation and the use of Discounted Cash Flow (DCF) models to estimate the expected rates of return. Later, show how the DCF models can value the entire business rather than individual shares.
  - Chapters: 3 and 4 of the Textbook
  - Chapter end exercises and Case on 'Reeby Sports' from the textbook (3 Lectures)
  - Lab -I Applications of Time Value of Money ( 2 Lectures)
- **Module 4 Capital Investment Analysis:**
  - Begin with introducing the importance of capital investment decisions. Then explain the Net Present Value and other investment criteria. Conclude by showing how to cope with situations when the firm has only limited capital. Explain how to develop a set of cash flows from the business. Then demonstrate a realistic and comprehensive example of a capital investment analysis. Also, explain the role of corporate taxes in investment analysis
  - Chapters – 5 and 6 of the Textbook
  - Chapter end exercises Case: 1. Hola Kola Capital Budgeting Decisions (HBSP# TB0343) Case 2. Sneaker 2013 (HBSP# BAB166) (one of the above) (3 Lectures)
- **Module 5 Risk and Return:**
  - First, explain how to read the stock prices and compute returns. Then take the first look at investment risks and show how they can be reduced by portfolio diversification. Introduce the risk measures, the standard deviation of returns, and the Beta coefficient for individual securities.
  - Reading: Chapter 7 of the Textbook Case from the textbook, John and Marsha on Portfolio Selection

- Chapter end exercises ( 2 Lectures)
- **Module 6 Portfolio:**
  - Theory and the Capital Asset Pricing Model This module would focus on presenting modern portfolio theories linking risk and return. Then demonstrate how these theories can be used to estimate the returns required by the investments. First, start with the Capital Asset Pricing Model (CAPM) and look at another class of models, arbitrage pricing or factor models.
  - Reading: Chapter 8 of the textbook Case: 'Partners Healthcare' (HBSP#9-206-005) ( 3 Lectures)
- **Module 7 Risk and Cost of Capital:**
  - First, understand why investment in a project is risky. Then evaluate the sensitivity of project cash flows to business cycles. Relate the CAPM and explain how to calculate the cost of capital (WACC). Conclude the topic after introducing the certainty-equivalent factors and illustrate how the risk can change over time.
  - Reading: Chapter 9 of the Textbook
  - Chapter end exercises Case: Nike Inc; Cost of Capital (HBSP#UV0010) ( 3 Lectures)
- **Module 8 Project Analysis:**
  - Focus on how firms develop budgets for capital investments. Illustrate sensitivity, break-even, and Monte Carlo simulation to identify investment proposals' crucial assumptions and explore what can go wrong. In the end, describe important real options, and show how to use decision trees to set out the possible future choices.
  - Readings: Chapter 10 of the Textbook Investment, Strategy, and Economic Rents: First, explain how the firm's competitive advantage links corporate strategy with finance. Then explain the common pitfalls in capital investment analysis and conclude how economic rents underlie all positive NPV investments.
  - Reading: Chapter 11 of the Textbook ( 4 Lectures)
  - Lab Simulation Exercise on Investment Analysis ( 2 Lectures)
- **Module 9 Corporate Financing:**
  - Illustrate the sources of financing and patterns with the help of financial data from CMIE or Bloomberg. Explain internal financing vs. external financing. Review some of the essential features of equity and debt financing. Dividend Policy Explain how much cash should the firm's payout to its shareholders. Then how should the cash be distributed by paying cash dividends, stock dividends, or stock repurchases Case: 'Blaine Kitchenware Inc' (HBSP#4040) ( 3 Lectures)

### Laboratory Modules

- The first lab session focuses on the time value of money to demonstrate the effect on the value of money with changes in assumptions such as time horizon, discounting factor, frequency of compounding, etc.
- The second lab session explains the sensitivity of project value to different business scenarios, how to forecast operating cash flows, and applications of Monte Carlo Simulation to know the expected value of cash flows.

### Text Books

1. Brealey A Richard, Myers C Stewart, and Allen Franklin, **Principles of Corporate Finance**, McGraw Hill Education, 13th Edition (US) (Main Textbook)
2. Ross A Stephen, Randolph W Westerfield, Jaffe Jeffrey and Bradford, **Corporate Finance**, 12th Edition, McGraw Hill Education (Additional Textbook)
3. Jonathan Berk and Peter DeMarzo, **Corporate Finance (plus MyFinanceLab)**, 3rd Edition, Pearson - Prentice Hall, 2014.

### References

1. Eugene F Fama, **Theory of Finance**, Thomson Learning, 1972.
2. Elton J Edwin, Gruber J. Martin, Brown J. Stephen, and Goetzmann N. William, **Modern Portfolio Theory and Investment Analysis**, Wiley, 2014